

# Lessons in NATION BUILDING

The biggest challenge to economic growth comes from our inefficient power sector and bad roads

— By **G.V. KRISHNA REDDY**

India is undoubtedly among the fastest growing countries in the world and infrastructure needs have increased exponentially over the past few years. This has put immense pressure on the existing infrastructure. The Indian government has realised the gravity of the situation and has embarked on various measures to increase the infrastructure spend. India's infrastructure spending has not kept pace with the country's economic growth. The increasing infrastructure gap is constraining economic growth. Indian's infrastructure needs investments of close to \$500 billion;

India's urban population is expected to grow from 28 per cent in 2002 to 40 per cent in 2020, putting a strain on the country's urban infrastructure.

**7.8%**

was the growth of India's cement industry in 2008-09 despite the global slowdown. The production was 181 mn metric tonnes.

about a fourth of this investment is expected to be met through public-private partnerships (PPP).

In spite of acute infrastructural deficiencies in power, roads, ports and airports, we saw an accelerated growth which was powered by the traditionally infrastructure-hungry manufacturing and services sector. If this is what we can achieve with such handicaps, then imagine the heights that it can reach with optimum infrastructure.

Despite strong economic growth, India's power sector is plagued by inefficiencies in generation, transmission and distribution. Existing generation capacity of 1,40,000 MW falls short of peak demand by 16 per cent. The transmission network and distribution network is plagued by technical and commercial losses, which contributes to generation shortage. Transmission and distribution losses vary from 20 to 60 per cent across different states. While there are opportunities for private participation in

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